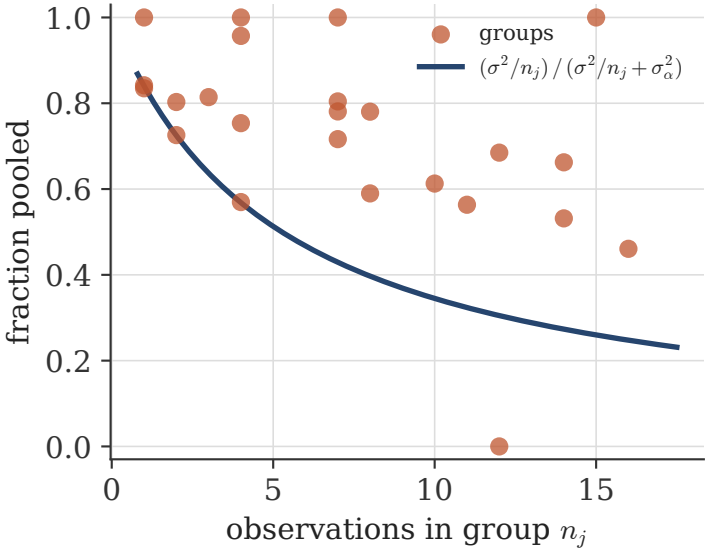
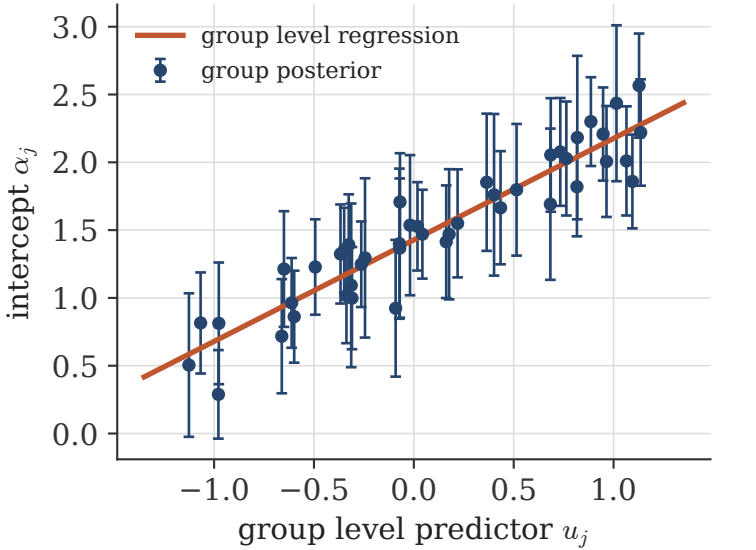

(a) Small groups are pooled hardest
groups
$(\sigma^2/n_j)\,/\,(\sigma^2/n_j+\sigma_\alpha^2)$
fraction pooled
observations in group n_j
0.0
0.2
0.4
0.6
0.8
1.0
0
5
10
15


(b) Borrowing through a group predictor
group level regression
group posterior
intercept α_j
group level predictor u_j
0.0
0.5
1.0
1.5
2.0
2.5
3.0
−1.0
−0.5
0.0
0.5
1.0